

# MANAGEMENT REVIEW

Management without theatre.

KPIS

## OKRS AND KPIS: WHEN TO USE WHICH

Why OKRs and KPIS are two tools and not two names for one list, where both come from, how an OKR is scored, and what goes wrong when one does the other's job.



# 60–70%

is the sweet spot for an OKR score in Google's guide. A team that always reaches 100% is not aiming high enough.

GOOGLE RE:WORK

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# In this issue

Many teams use OKRs and KPIs as two names for the same list of numbers. This issue is about why they are two different tools, and what goes wrong when one is asked to do the other's job.

Andy Grove described both in the same book in 1983: indicators that keep a running operation in view, and objectives with key results that set a direction. John Doerr took the second to Google in 1999. Google's guide asks for few objectives, scored from 0.0 to 1.0, with 60–70% as the sweet spot. The research is thinner than the enthusiasm: a 2024 review found 47 studies and called the literature still scarce.

*Stiven Janaqi* EDITOR · STIVEN CATALYST

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## HOW TO READ THIS ISSUE

### Figure

Every figure has its source and year at the foot of its page.

### Our reading

Where the editors interpret rather than the research, it says so.

### Practice

The steps and the card are proposals to try, not research results.

## COVER STORY

# Two tools from one book

In *High Output Management* (1983), Intel's Andy Grove wrote about two things a manager needs: indicators to watch the work as it runs, and a few objectives that say where the team should go next.

“Where do I want to go? How will I pace myself to see if I am getting there?”

Grove's two questions for objectives. The answer to the first is the objective; the answer to the second gives the key results. John Doerr learned the method at Intel in the 1970s and took it to Google's founders in 1999.

For the running work, Grove used the example of a breakfast factory: which few pieces of information would its manager want to see every morning, on arriving at the office? Those are the indicators. Today most teams call them KPIs.

**1983**

Grove: indicators for the running work, objectives for the direction.

**1999**

Doerr brings OKRs to Google's founders.

**2018**

Measure What Matters makes OKRs widely known.

**2024**

A review finds 47 studies: the research is still scarce.

**OUR READING**

A KPI tells you whether the machine is running. An OKR tells you where to take it. Most teams need both, and many mix them up.

Sources: Andrew S. Grove, 1983; John Doerr, 2018; Roberto Silva & Gleison Santos, iSys, 2024

THE NUMBERS

# What the research can show

Researchers at a large software company asked engineers about OKRs: 47 interviews, then a survey with 512 answers. It is one company, but one of the few places where OKRs have been studied closely.

ENGINEERS AT ONE LARGE SOFTWARE COMPANY, 2024

Do not know how to find other teams' goals when they need them



Want or need to see other teams' OKRs



12

different tools for tracking OKRs, in that one company

47

studies on OKRs found by a 2024 review, most in software and IT

The authors of the review call the academic literature on OKRs still scarce. We found no long-term study showing that OKRs make organisations perform better; the studies that exist describe how teams use them and where they struggle.

OUR READING

OKRs are a promising tool, not a proven one. Introduce them like an experiment: with a review date and a question you want answered.

Sources: Jenna Butler, Thomas Zimmermann & Christian Bird, ICSE-SEIP, 2024; Roberto Silva & Gleison Santos, iSys, 2024

THE MODEL

# Running or changing

The two tools answer different questions. The comparison below is ours, built from Grove, Doerr and Google's guide.

## KPI: is the work running well?

Watches the running operation, often daily

The target is a range: stay inside it

Read in pairs: a measure and its counter-measure

Stays for years

## OKR: where do we go this quarter?

Few objectives, about three key results each

Scored 0.0 to 1.0; 0.6–0.7 is the sweet spot

Key results describe outcomes, not activities

Changes every cycle

Doerr's short version, at TED in 2018: the objective is what you want to have accomplished; the key results are how you will get it done. Key results, he said, must be specific and time-bound, aggressive yet realistic, measurable and verifiable.

### OUR READING

A KPI that is green every day is good news. An OKR that scores 1.0 every quarter is a warning: the goal was too easy.

Sources: Andrew S. Grove, 1983; John Doerr, TED, 2018; Google re:Work, 2016

The comparison is our reading of Grove (1983), Doerr (2018) and Google's guide.

THE RISK

# When one does the other's job

Grove warned that indicators steer attention to what they measure, like a bicycle that goes where you look. Watch only the inventory, and you cut it until shortages appear.

- |           |                                         |                                                                                                                                                                                            |
|-----------|-----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>01</b> | <b>A KPI turned into a stretch goal</b> | The team pushes one number and the one beside it suffers. Grove's answer: pair indicators, so effect and counter-effect are measured together.                                             |
| <b>02</b> | <b>An OKR used to rate people</b>       | Whoever is rated on the score sets goals they know they can hit. Google's guide keeps OKRs apart from employee evaluation, and low scores are data for the next quarter, not a punishment. |
| <b>03</b> | <b>Too many OKRs</b>                    | Google suggests about three key results per objective, and Doerr's book three to five objectives per cycle. A long list is a KPI dashboard with a new name.                                |

HYPOTHETICAL EXAMPLE, A PAIR OF INDICATORS IN A WAREHOUSE

|           |                                             |
|-----------|---------------------------------------------|
| Pushed    | Picks per hour, from 90 to 110              |
| Beside it | Picking errors per 1,000 lines, from 2 to 6 |

Speed went up and quality paid for it. Read together, the two numbers show it in the same report. The numbers are invented.

OUR READING

Before you raise a target, name the number that will suffer if the team reaches it the wrong way, and watch both.

Sources: Andrew S. Grove, 1983; Google re:Work, 2016; Rick Klau, Google Ventures, 2013; John Doerr, 2018

More in the essay

KPIs the team trusts

HOW IT IS MEASURED

# Scoring the quarter

At the end of the quarter each key result gets a score from 0.0 to 1.0, and the objective gets roughly their average.

1

**Score each key result**

0.0 for no progress, 1.0 for fully achieved, a partial score for partial progress.

2

**Take the average**

That is the objective's score.

3

**Read it**

Around 0.6–0.7: ambitious and reachable. Always 1.0: too easy. Very low: find the cause before the next quarter.

4

**Check the KPIs beside it**

Did the health measures stay in their range?

**HYPOTHETICAL EXAMPLE, AN EVENING SHIFT**

|                  |                                                                      |
|------------------|----------------------------------------------------------------------|
| <b>Objective</b> | Close the evening shift on time                                      |
| <b>KR 1</b>      | Overtime from 40 to 10 hours a month: reached 16, score 0.8          |
| <b>KR 2</b>      | Handover done by 22:00 on 9 of 10 days, from 5: reached 7, score 0.5 |
| <b>KR 3</b>      | Two more people can do the stock count: done, score 1.0              |

Score 0.77, and the error rate of the count stayed under 1%. The numbers are invented.

Source: Google re:Work, 2016

The scale is Google's; the steps and the example are the editors'.

TOOL OF THE ISSUE

# The OKR card

One card per objective, for one quarter. The last line keeps the KPIs in view while the team aims higher.

**01 Objective** one sentence, where we want to go

**02 Key result 1** a number, from where to where, by when

**03 Key result 2**

**04 Key result 3**

**05 The KPIs that must not get worse** and their range

**06 Score at the end of the quarter** and what we learned

A practice proposed by the editors.

[Open the tool: KPI Diagnostic](#)

[stivencatalyst.com/tools/kpi-diagnostic/](https://stivencatalyst.com/tools/kpi-diagnostic/)

SOURCES AND METHOD

# Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

**High Output Management**

Andrew S. Grove, 1983

**Measure What Matters**

John Doerr, 2018

<https://www.penguinrandomhouse.com/books/546304/measure-what-matters-by-john-doerr-foreword-by-larry-page/>

**Why the secret to success is setting the right goals**

John Doerr, TED, 2018

[https://www.ted.com/talks/john\\_doerr\\_why\\_the\\_secret\\_to\\_success\\_is\\_setting\\_the\\_right\\_goals](https://www.ted.com/talks/john_doerr_why_the_secret_to_success_is_setting_the_right_goals)

**Set goals with OKRs**

Google re:Work, 2016

<https://rework.withgoogle.com/intl/en/guides/set-goals-with-okrs>

**How Google sets goals: OKRs**

Rick Klau, Google Ventures, 2013

<https://library.gv.com/how-google-sets-goals-okrs-a1f69b0b72c7>

**Surveying the Academic Literature on the Use of OKR (Objectives and Key Results) – An Update**

Roberto Silva & Gleison Santos, iSys, 2024

<https://journals-sol.sbc.org.br/index.php/isys/article/view/3885>

**Objectives and Key Results in Software Teams: Challenges, Opportunities and Impact on Development**

Jenna Butler, Thomas Zimmermann & Christian Bird, ICSE-SEIP, 2024

<https://arxiv.org/abs/2311.00236>

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



# **MANAGEMENT REVIEW**

Management without theatre.

Every issue, one management question, checked against the best research.

**ALL ISSUES**

[stivencatalyst.com/magazine/management-review.html](https://stivencatalyst.com/magazine/management-review.html)